

Union govt., banks to decide subsidy amount for UPI after charges kick in

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NEW DELHI

The Merchant Discount Rate (MDR) on UPI transactions will not be enough to cover the cost of running and maintaining the payment platform, and so the government will soon hold discussions with the Indian Banks' Association (IBA) to decide what quantum of the ongoing government subsidy should continue and in what form, sources in the Ministry of Finance have confirmed.

The Ministry of Finance will also coordinate with the IBA on how to ensure that merchants do not pass on the MDR charge to customers. The MDR charge will go live on UPI on October 15, and there is no proposal to delay this date, the sources said.

The government has budgeted ₹2,000 crore for the ongoing financial year under its incentive scheme for the promotion of RuPay

debit cards and low-value BHIM-UPI transactions.

Talks with IBA

“The MDR amount that will be collected will not be enough to cover the full cost of UPI,” a senior official in the Ministry said on condition of anonymity.

“As for the incentive the government is already providing, we will need to discuss with the IBA on how much should continue and how... We will also be speaking to the IBA in the run-up to October 15 to work out ways in which it can be ensured that the merchants do not pass on the MDR to customers,” the official added.

Separately, the Finance Ministry will also be speaking to traders and their umbrella body, the Confederation of All India Traders (CAIT), to explain the MDR charge to them and explain how most merchants will not be affected, and so should not stop accepting

UPI payments.

Issue for GST Council

Another official said that the Ministry could not “unilaterally” decide on the issue of a levy of Goods and Services Tax on the MDR amount collected by payment processors and banks from merchants.

“UPI is a service, and the MDR is the charge for providing that service to merchants,” the second official explained. “As such, that service is taxed under GST. But it is for the GST Council to decide on the rate, how much, whether to exempt and all that. The Centre cannot unilaterally take those actions.”

The second official, however, clarified that the upcoming GST Council meeting on October 7 will be related to process reforms rather than “any sort of rate issue”.

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Overweight and weak

The UN is unwieldy, and needs to move away from superpower hegemony

The 81st session of the United Nations General Assembly (UNGA) could have been written off as just another year, with another set of speeches delivered on the global multilateral stage. However, this year, the UN’s annual Summit has a unique sense of urgency. This is UN Secretary-General (UNSG) António Guterres’s final session, after a tenure marked by a record number of global crises, conflicts, pandemics, climate disasters and the advent of a dangerous age of Artificial Intelligence. Not since the Second World War have there been so many conflicts; one study recorded more than 65 conflicts across 35 countries in 2025, the highest since 1946. Growing polarisation on every major issue, wars by global superpowers in violation of the UN charter, nuclear threats and the imposition of unilateral and illegitimate sanctions have weakened the UN, which at 81 seems overweight, weak and unrepresentative of the world. This makes it an important year for the world to unite in favour of a strengthened and reformed UN while choosing the next UNSG to guide that process over the next decade. This is an important year for South Asia too, with the election of Bangladesh’s Foreign Minister Khalilur Rahman as the President of the UNGA’s 81st session; he will oversee the UNSG’s selection. It was disappointing that the world’s most powerful leaders and those at the heart of the conflicts in Ukraine, Gaza and the Persian Gulf failed to suggest solutions for the future. U.S. President Donald Trump spoke about the possible “annihilation” of Iran, and defended U.S. actions in Venezuela. Much to India’s chagrin, he again claimed to have negotiated peace in conflicts including the 2025 India-Pakistan four-day war. Iranian President Masoud Pezeshkian referred to the U.S. and Israel as “murderers, terrorists and assassins”. The Russian President skipped the session, while the U.S. denied visas to the Palestinian delegation. An initiative led by the European Union and a few other countries, co-sponsored by India, to build a Partnership for Multilateralism (P4M) beyond superpower hegemony is well-meaning, but was drowned out by the rancour at this year’s UNGA. For India, this year was significant as the Narendra Modi government launched a campaign for a second two-year non-permanent term in the UN Security Council in 2028-29. It was therefore surprising that Mr. Modi decided to skip the UNGA speech this year, and the multilateral summits on the side-lines, fresh from his hosting of the Delhi BRICS Summit. India’s voice, of a balancing power that speaks for a rules-based international order based on the UN Charter, diplomacy and dialogue, is needed more than ever amidst the global warmongering.

Narrowed posture

Karnataka must not reject the full framework of eco-sensitive areas

The Kasturirangan Report bears a pro-development attitude that allows human occupation and a range of economic activity across the Western Ghats, yet the Karnataka Assembly unanimously repudiated its recommendations. A grievance concerned the accuracy of the remote-sensing and satellite data from 2012 that the Report uses to distinguish natural from human-dominated landscapes. Another concern was its recommendation that an entire revenue village be placed within an ‘ecologically sensitive area’ (ESA) if at least 20% of its area is sensitive. This could bring farmland and human settlements within the ESA even when sensitive areas occupy only a fraction of the village. Following the Centre’s directive to States in 2013-14 to begin ground-truthing the Report’s recommendations, Karnataka faced bipartisan opposition centered on concerns about livelihoods, with vested interests, including stakeholders of activities both the Gadgil and the Kasturirangan Reports restrict/ban such as mining, allegedly fanning fears of displacement. The State thus elected to resist the ESA framework. Although the Assembly’s resolution proposes returning to the unfinished task of producing an alternative map, the government’s posture also faces a wider challenge. The Centre’s interim directions in 2013 preserve some protection for the ecosystems that the State stewards, but for the government and the businesses within potential ESAs, the delay may prolong uncertainty over what forms of planned development will ultimately be permitted. Broadly, particular States confront the economic and political consequences of local resistance and foregone development while the country as a whole will capture much of the national benefit of conserving the Ghats, so States have an incentive to negotiate the ESAs’ extent down. However, as of mid-2026, Gujarat was reportedly close to an agreement with the Centre, Tamil Nadu had no substantive disagreement, Kerala wanted to reduce its already ground-truthed 9,993 sq. km to 8,805 sq. km, and Maharashtra and Goa wanted 378 and 21 villages omitted, respectively. These instances of progress (such as they are), the Ghats’ continuity across six States, and the Centre’s 2024 decision to allow ESAs in the region to be notified State by State increase pressure on Karnataka without legally binding it to its neighbours’ choices. Specifically, Karnataka’s ability to continue rejecting the framework as a whole becomes harder to sustain if it does not also produce an equally considered alternative. Karnataka needs to reconcile the apprehensions of its farmers and workers with the responsibilities accruing to the State with the largest share (by area) of the proposed ESAs.

Urged to ban tobacco, Napoleon III, Emperor of France (1852-70), replied, “This vice brings in one hundred million francs in taxes every year. I will certainly forbid it at once – as soon as you can name a virtue that brings in as much revenue.” His uncle, Napoleon Bonaparte, is also credited with calling vices “very good patriots” (though the attribution is uncertain), while Ralph Waldo Emerson observed that “tobacco could cheerfully carry the load of armies”. Different voices, one hard-headed insight: vices are fiscally invaluable.

Yet, every age has moral crusaders whose puritanical zeal to ban tobacco, alcohol, or lotteries rests on the misconception – and conceit – that the state can extinguish persistent demand simply by declaring an activity unlawful. Pragmatists know better: a prohibition may be morally appealing yet administratively futile – or, worse, positively counterproductive.

The United States learnt this lesson the hard way. Following a sustained temperance campaign, it imposed prohibition through the Eighteenth Amendment and the Volstead Act, from 1920 to 1933. While suppressing legal supply, prohibition left demand intact, fuelling a lucrative black market controlled by violent syndicates such as Al Capone’s. Bootlegging corrupted public institutions, deprived governments of excise revenue and imposed heavy enforcement costs. The Twenty-First Amendment repealed prohibition, recognising that a regulated and taxed market could cause fewer harms than an unenforceable ban. States in India that have experimented with prohibition have faced similar challenges.

The argument for regulation

Lotteries are undoubtedly a vice, though arguably less pernicious than tobacco or alcohol. They disproportionately burden poorer households, encouraging them to stake scarce income on remote chances of reward. Rapid draws and instant games can encourage compulsive play and loss-chasing, while giant jackpots distort risk perception. Credit sales, opaque odds and manipulative advertising compound these harms. These are powerful arguments for stringent regulation, not necessarily prohibition.

Lottery bans can push players towards smuggled tickets, *matka*, *satta*, single-digit rackets and offshore portals. Operating through cash agents and mule accounts, these enterprises lack audits and age restrictions, secure prize funds and effective remedies against fraud. Governments lose lottery surpluses and GST revenue, while legitimate vendors, many of them poor or disabled, lose livelihoods and enforcement costs rise. In seeking to protect the vulnerable, the state may instead leave them at the mercy of unaccountable operators.



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Regulation, not prohibition, can curb lottery harms while preserving accountability

The state’s paternalism is not class-neutral. Affluent citizens can day-trade, use leveraged derivatives or speculate in crypto-assets despite the risk of ruinous losses. Securities trading involves skill and derivatives facilitate hedging and price discovery. Yet, the state does not test competence before admitting retail traders to these markets. The Securities and Exchange Board of India found that the vast majority of day traders and futures-and-options traders incurred losses. Financial markets are legal not because everyone acts wisely, but because risks are disclosed, intermediaries regulated and fraud punished, while adult choice is preserved. Lotteries can follow the same principle, with more stringent safeguards appropriate to games of chance.

The international norm

Lotteries are legal in nearly four-fifths of countries. Blanket prohibition survives mainly in countries enforcing strict Sharia-based gambling prohibitions, such as Saudi Arabia, Iran and Brunei, and in closed ideological regimes such as Cuba.

Across diverse political and economic systems, the norm is controlled legality, with lottery surpluses allocated transparently to education, health care, sports, welfare or infrastructure. Nearly 70% of lottery jurisdictions follow the public-operator model, in which a government body, statutory authority or State-owned company runs the lottery while private firms provide retail and technology services. Under the concession model, the State regulates the lottery but grants operating rights to a private concessionaire.

Federal countries generally entrust lotteries to their constituent units while permitting voluntary cooperation across borders. Lotteries operate in 45 of the 50 U.S. States and Washington DC; all 10 Canadian provinces and three territories; all six Australian States and both mainland territories; and all 16 German Länder. Authorisation in one jurisdiction does not confer the right to sell in another. Cross-border sales require the destination jurisdiction’s consent or participation in a cooperative arrangement. The U.S.’s Powerball, Canada’s Lotto 6/49, Australian lottery blocs and Germany’s DLTB allow participating jurisdictions to pool players and prizes while retaining regulatory autonomy.

A Lok Sabha reply of March 14, 2023, identified only nine States operating lotteries: Arunachal Pradesh, Goa, Kerala, Maharashtra, Mizoram, Nagaland, Punjab, Sikkim and West Bengal. Amid persistent State fiscal stress, the widespread preference for prohibition deserves reconsideration. Government-organised lotteries fall under Entry 40 of the Union List. The Lotteries (Regulation) Act, 1998, permits States to organise lotteries subject to Section 4 conditions,

while Sections 5 and 6 empower States and the Union Government, respectively, to prohibit lotteries that violate Sections 4 and 5.

Two necessary amendments

Settled Supreme Court jurisprudence treats gambling, including State-organised lotteries, as *res extra commercium*, outside the protections of Articles 19(1)(g) – fundamental right to trade – and 301 – freedom of trade across India. Section 5 of the Lotteries (Regulation) Act, 1998, reflects this principle by allowing States to prohibit outside lotteries. A parallel doctrine applies to potable alcohol, allowing States to restrict or prohibit out-of-State consignments.

Yet, in *B.R. Enterprises vs State of U.P.* (1999), the Court read Section 5 down: a State may exclude other States’ lotteries only by abandoning its own and becoming wholly lottery-free.

This all-or-nothing rule is difficult to justify. While a State directly oversees its own lottery administration, its oversight of another State’s operations within its territory is necessarily indirect, even as it bears the local enforcement burden. This disparity in regulatory control underpins the case for excluding other States’ lotteries. Faced with this revenue-regulation trade-off, Tamil Nadu (2003) and Karnataka (2007) chose total prohibition, thereby forfeiting the option of running accountable public lotteries of their own.

Parliament should amend Section 5 to clarify that the provision applies “whether or not the prohibiting State organises a lottery of its own”. Destination-State consent should be decisive, subject to uniform treatment: a State must either admit all outside lotteries or exclude them all.

Smaller States, especially in the northeast, may fear exclusion from larger markets, but compulsory access is no remedy. A new Section 4A should authorise two or more States to establish a common lottery by agreement, pooling players, prizes, technology and costs, as in successful multi-State lotteries elsewhere.

Transparent regulation offers a more accountable alternative to prohibition. Section 4 permits States to sell tickets directly or through distributors or agents. While marketing agents may provide guaranteed revenue, departmental operation can be more transparent and enable retail distribution through small vendors, persons with disabilities, women’s self-help groups and cooperatives, broadening livelihood opportunities and limiting intermediary capture.

Kerala follows this model. In FY 2023-24, it earned ₹2,883.80 crore – ₹1,129.71 crore in net lottery revenue (or surplus) and ₹1,754.09 crore in State GST. It channels lottery surpluses into health care and welfare. Kerala’s public-operator model offers a useful, though not exclusive, template for reform.

Revisiting India’s nuclear doctrine without revising it

India’s nuclear doctrine has remained largely unchanged for over two decades, even as its security environment has shifted dramatically. Since its operationalisation in 2003, China’s military rise has accelerated, Pakistan’s nuclear posture has evolved, disruptive technologies have reshaped deterrence, and geopolitical competition has become more multipolar. Yet, the doctrine’s core principles – credible minimum deterrence and a declared No First Use (NFU) posture – have endured, albeit with a specific provision retaining the option of nuclear retaliation following a major biological or chemical attack on India or Indian forces. The question is whether a framework crafted for the early 2000s remains fully aligned with the security challenges of the mid-2020s.

A doctrine for another era, strategic shifts

India’s nuclear doctrine emerged from the distinct strategic context of the late 1990s. The 1998 Pokhran-II tests established India as a nuclear weapons state, while Kargil (1999) showed that nuclear deterrence did not rule out conventional war. The 1999 Draft Nuclear Doctrine and the Cabinet Committee on Security’s January 4, 2003 decision sought to reconcile deterrence with restraint. The 2003 decision operationalised a posture based on credible minimum deterrence, No First Use (NFU) and massive retaliation to a nuclear attack, supported by a survivable second-strike capability and firm civilian control. Judged by its original objectives, the doctrine has provided continuity, predictability and strategic stability for more than two decades. The question is whether the assumptions underpinning it remain stable.

The strategic environment underpinning the framework has changed in three important ways. First, China and Pakistan have grown more strategically aligned. When the doctrine was



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India’s nuclear doctrine faces new strategic, technological and geopolitical challenges

formulated, the two nuclear-armed neighbours posed distinct challenges; today, those challenges are increasingly interconnected. China has expanded and modernised its nuclear forces, strengthened military infrastructure along the Line of Actual Control and deepened defence cooperation with Pakistan. Pakistan has diversified its nuclear capabilities, including tactical nuclear weapons intended to offset India’s conventional advantage. India must therefore account for the possibility that pressures from two closely aligned nuclear adversaries could interact during a crisis.

The second shift is technological. Artificial intelligence, cyber capabilities, space-based surveillance, hypersonic weapons and ballistic missile defence are reshaping deterrence by shortening decision-making timelines, increasing the vulnerability of command-and-control networks and complicating assumptions about assured retaliation. These technologies do not invalidate the doctrine’s core principles, but they alter the environment in which they must operate. Nuclear deterrence ultimately depends on the alignment of doctrine, capability and survivability.

The third shift is geopolitical. The Indo-Pacific has become a key arena of great-power competition, while the international system has grown more multipolar. U.S.-China rivalry, closer China-Russia coordination and India’s expanding partnerships have reshaped the security environment. Nuclear doctrine can no longer be viewed solely through bilateral deterrence; regional crises are increasingly shaped by wider geopolitical competition.

Review, not revision

Strategic doctrines are policy instruments, not immutable documents. In India’s case, a review could examine emerging technologies, command-and-control resilience, second-strike

capabilities and the continuing relevance of existing concepts, including the doctrine’s approach to retaliation.

The issue of massive retaliation deserves scrutiny. Pakistan’s tactical nuclear weapons were intended to complicate India’s response options below the level of strategic exchange. A review could assess whether India’s declaratory posture provides sufficient deterrent clarity across nuclear contingencies, without necessarily changing its core principles.

There are, however, reasons for caution. India’s doctrine has reinforced its image as a restrained and responsible nuclear power while providing continuity in deterrence. Ambiguity over established principles, particularly NFU, could create uncertainty, encourage adversaries to recalibrate and complicate crisis management. The priority, therefore, should be to strengthen operational capabilities, modernise delivery systems and improve command-and-control resilience rather than reopen declaratory policy.

A review of NFU need not mean abandoning it. It could reaffirm its rationale, clarify its scope and ensure that supporting capabilities remain credible. Reviewing a doctrine is not the same as revising it.

Building credible capabilities

For India, any doctrinal review should also assess survivability, command and control, intelligence, early warning, cyber resilience and the nuclear triad. The aim should be to ensure that India’s declared policy remains backed by credible capabilities in a changing strategic environment, while aligning nuclear policy with its broader diplomatic objectives and strategic autonomy.

Ultimately, a nuclear doctrine is an instrument of statecraft, not an immutable policy. India’s commitment to restraint, credible deterrence and responsible nuclear stewardship remains an enduring strategic asset.

Govt. yet to decide how open-field caste data will be sorted, tabulated

Opposition, OBC groups are against open-column option in 2027 Census; they say 2011 Socio-Economic Caste Census also had an open field to record caste, yielding over 46 lakh caste names; successive governments did not act on it, they add

Abhinav Lakshman
NEW DELHI

More than a month after the Union government notified the questionnaire for the second phase of the 2027 Census, finalising an open-column method to record caste, officials told *The Hindu* that a decision is yet to be taken on how the government will sort, tabulate, and rationalise the data collected through this method.

Under this method, people who are not from the Scheduled Castes or Scheduled Tribes can enter their caste names in an open column. This is unlike other modes of enumerating castes wherein people have to choose from a list of castes, a method used by the Bihar and Telangana governments in their caste surveys. The open-field method allows people to opt for a “no-caste” option; they can al-



The questions in the second phase include those on caste and fields for family particulars and COVID vaccinations. C. VENKATACHALAPATHY

so choose not to disclose their caste name.

Experts, Opposition parties, and associations representing Other Backward Classes have criticised the decision to use the open-column method, arguing that it is bound to repeat the results of the 2011 Socio-Economic Caste Census exercise, which yielded over 46 lakh different caste names. Successive governments had shelved that report, they

say. A senior government official said that discussions on how to make sense of the caste data returned through the 2027 Census forms have not yet been initiated, adding that this will happen as the fieldwork on the exercise progresses over the coming months.

Apart from the caste question, which has been introduced in India's census forms for the first time since Independence, the

method of sorting and tabulating the data for the other new questions is also in various stages of discussion within the Office of the Census Commissioner.

13 new questions

The second phase of the 2027 Census exercise lists a total of 40 questions, of which 13 are new questions or data fields that were not part of the previous 2011 census. These include the question on caste and fields for family particulars, ID proofs, and COVID vaccinations.

The government official added that once a holistic proposal is prepared by the Office of the Registrar General and Census Commissioner of India on the method for sorting the data, this file is sent up the chain to the Union Home Secretary, following which the government will take a final decision, either at the level of the Ministry or the Union Cabinet.

Officials said that each division of the Census office would have to handle the tabulation process for the questions that they are responsible for, after which the file on this methodology is forwarded to the top bureaucrat in the Union Home Ministry.

Speaking to *The Hindu*, Professor G.N. Devy, scholar, linguist, and cultural activist, said the Office of the Census Commissioner should have ideally included experts in the discussions on finalising the questions, adding that doubts about the method of post-data collection analysis would have also been addressed at this stage, had the government taken this approach.

The second phase of the Census has already begun in several hilly and remote regions, such as Ladakh and the snow-bound areas of Himachal Pradesh, Uttarakhand, and Jammu and Kashmir.

Shaunak sails for Australia with QUAD officers onboard

The Hindu Bureau
NEW DELHI

Indian Coast Guard (ICG) ship *Shaunak* sailed from Chennai on Friday for Perth as part of the QUAD-at-Sea Ship Observer Mis-

sion, aimed at enhancing maritime interoperability and professional exchanges among India, Australia, Japan and the U.S. The team on board comprises two officers each from India and Japan and one officer each from Australia and the U.S.

INBRIEF



French Rafales, A400Ms arrive for “Tarang Shakti”

As part of Mission Pégase 26, the French Air and Space Force has deployed four Rafale F4 fighters, three A330 MRTT Phénix multi-role tanker transport aircraft, and two A400M Atlas aircraft to Jodhpur for the second edition of the multinational air exercise Tarang Shakti. The deployment arrived on Friday, and will participate in the Tarang Shakti air combat exercise hosted by the Air Force, from September 28 to October 12. The exercise is aimed at enhancing operational cooperation and interoperability between the participating air forces. Mission Pégase 26, the seventh edition of France’s long-range air projection exercise, is being conducted from September 8 to October 15.

AFSPA extended in parts of Arunachal, Manipur, Nagaland

The Hindu Bureau
NEW DELHI

The Union Home Ministry on Friday extended the Armed Forces (Special Powers) Act (AFSPA) in parts of Manipur, Arunachal Pradesh, and Nagaland for another six months.

The AFSPA has been extended in the whole State of Manipur except the jurisdiction of 13 police stations in five valley districts, a notification said. Manipur has been affected by ethnic violence since May 3, 2023.

On November 14, 2024, out of 19 police stations in seven districts of Manipur, the Act was reimposed in the limits of six police stations in five districts, mostly in the valley, in the wake of the 2023 ethnic violence. President’s Rule was imposed in the State on February 13, 2025 and revoked on February 4 this year.

The AFSPA was withdrawn from all valley police stations between April 1, 2022 and April 1, 2023 by the Manipur government

amid an improved security situation and a “large sense of security among general public”. The provisions of the Act were withdrawn from the Imphal municipality area in 2004.

In Nagaland, the Act was extended for another six months in nine districts, and 21 police stations in five other districts, another notification said.

In Arunachal Pradesh, three districts and as many police stations in another district bordering Assam, were declared “disturbed area” for another six months.

Sweeping powers

The 1958 law gives power to the Army and the Central Armed Police Forces deployed in “disturbed areas” to kill anyone acting in contravention of law; arrest and search any premises without a warrant; and protection from prosecution and legal suits without the Union government’s sanction. The Act has been applicable in Manipur since 1981. Manipur, a former Union Territory, attained Statehood in 1972.

AI-led phone price hikes persist, hitting Indian customers

A series of price hikes has put budget phones out of reach for many who choose to wait for festival discounts or settle for 'less-powerful' devices

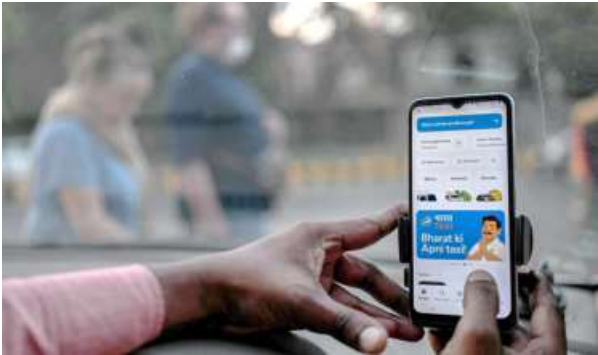
Aroon Deep
NEW DELHI

As smartphone prices increase due to a spike in demand for memory chips by AI companies and data centres, phone retailers have seen customer base dry up in a significant way. “This is the first time I’m seeing phone prices increase, and continue increasing relentlessly, in the last 20 years,” said Vivek Singh, 42, a phone retailer in south Delhi, who has been in the business for decades. “I have 10 or 15 people coming into the shop each day, and only one or two buy a phone,” he said. Since February, phone makers have been sending retailers price hike notifications that have been progressively growing.

The Hindu obtained such notifications from Vivo, Samsung, Realme, Oppo, Nothing, Poco, and Xiaomi from the All India Mobile Retailers Association (AIMRA).

Price hikes have ranged from ₹1,000 to ₹5,000, but that is only the latest tranche. “People ask me for ₹10,000 phones, but there is no such thing any more,” Mr. Singh rued, noting that some budget handsets’ prices have more than doubled.

The results of these



Pocket unfriendly: Price hikes have ranged from ₹1,000 to ₹5,000, but that is only the latest tranche. AFP

hikes have not been completely doom and gloom just yet, at least not yet.

Kailash Lakhyani, AIMRA’s founder chairman, told *The Hindu* that retailers were beginning to see better prices for pre-owned phones they got during trade-in purchases, and that retailers who had already purchased stock at an old dealer price were benefiting from a higher margin at newer prices.

A review of price hike notifications showed that some retailers saw their margins jump from 3.85% to over 14% for some Samsung phones. “60% of phones are being purchased overall,” Mr. Lakhyani claimed. “20% of customers are settling for less powerful phones, or buying second hand, and the 20% of customers below that are waiting for the festival season hoping for

discounts,” he added. “There’s also a rumour of a GST cut for smartphones, so some customers are waiting for that,” he said. The GST for smartphones stands at 18%. But this situation may worsen. “We have been in touch with phone companies, and they say this situation may go on till 2028 or even 2030,” Mr. Lakhyani said. “Next year also there will be hikes, but it may be more like a plane rather than a rocket [like this year was],” he added.

The phenomenon is global, as the memory chip crunch created by AI demand has hit electronics supply chains across the board. “Global sub-\$200 smartphone shipments are forecast to fall -40% between 2025 and 2030,” Counterpoint Research, a smartphone sales analyst firm, said on Thursday.

Economy resilient with downside risks from West Asia conflict: RBI bulletin

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MUMBAI

The Reserve Bank of India (RBI), in its monthly bulletin released late on Friday, stated that the Indian economy had stayed resilient despite global uncertainties rising from the West Asia crisis.

“The escalation of conflict in West Asia in September has led to a sharp increase in crude oil prices, reigniting concerns of a further disruption in global supply chains and build-up of inflationary pressures,” the RBI stated.

Pressure on finances

“Alongside, the rise in sovereign yields in some of the major advanced economies has put pressure on government finances. Despite such a challenging global environment, the Indian economy recorded a strong GDP growth in Q1:2026-27,” it said.

“High-frequency indicators through August reflected sustained demand with segments of industry and services sectors displaying resilience,” the RBI added in the bulletin.

The central bank further flagged inflationary tendencies in the economy transmitting as crude prices have begun increasing again. “Headline CPI inflation picked up in August 2026. Core inflation excluding precious metals has also increased from ultra-low levels of recent



The central bank flagged inflationary tendencies in the Indian economy.

months,” the RBI said.

Commenting on the foreign exchange reserves, the regulator said that the special deposit scheme for non-resident Indians (NRIs) led to a record high reserve position of \$766 billion as of September 18, 2026.

“The reserves provided cover for 11.2 months of goods imports [as on September 18] and more than 100% of the external debt outstanding as at end March 2026,” the RBI stated in the bulletin.

FCNR B flows also led to an increase in system liquidity, which has resulted in quickening deposit growth potentially supporting the ongoing credit growth cycle. On the external front, the RBI said that India’s financial and external sectors drew strength from the real economy, despite geopolitical tensions and weather-related uncertainties are acting as key downside risks.

Power plants may blend imported coal with domestic supplies

Reuters
NEW DELHI

India is considering telling power plants to blend imported coal with domestic supplies for the first time since 2024, three government sources said, to ease a supply crunch that has pushed monthly spot power prices to their highest since 2022.

Higher global coal demand and rising freight costs are set to make imports costlier, as Indonesian prices are up about a fifth since May while Russian prices are 14% higher and South African rates are up 19%, traders say.

5% blending

Under the plan being discussed by the officials of the power ministry, thermal power plants would have to blend up to 5% imported coal with domestic coal, said the sources, who are directly aware of the matter.

The plan represents a sharp reversal in New Delhi’s drive to boost domestic coal production and curb imports, which helped prune overseas supplies over the past two years.

Most of India’s coal-fired power plants rely primarily on domestic coal, but can blend up to 15% imported coal.

Indian coal imports are already at a 15-month high.

The government’s previous coal-blending directives ran from December 2021 to March 2024.

TRAI launches digital rating platform for properties

The Telecom Regulatory Authority of India (TRAI) on Friday launched an integrated Digital Connectivity Rating (DCR) platform and a dedicated mobile app to assess and certify in-building mobile and internet connectivity across residential, commercial, and government properties. The platform is designed to enable prospective buyers and tenants to evaluate digital readiness prior to purchasing or leasing. PTI